

Uber's Aggregation Woes, Revisited

A twenty-month scorecard, and the view from here

Charlie Trenorden · 14/08/2026 · Uber Technologies (NYSE: UBER) · Prices as at 13/08/2026

1. Summary

The January 2025 article argued that the market was too fixed on the distant autonomous threat and was underpricing Uber's medium term. Uber has returned +25.8% since against +32.6% for the S&P 500, and the shortfall understates the error: the position was +66% by October 2025 and gave back nearly all of it.

The article's modal case was a Waymo and Uber duopoly, at 45%. What happened instead was commoditised autonomous supply, which the article described accurately and left inside a 20% residual bucket.

The scenario-weighted value below is US\$89.59, +18% on the close and -13% against the consensus target. The cash flows behind it are consensus cash flows, so the difference between price, target and value rests on one probability: the chance that Waymo and its peers reach riders directly in the dense US market.

Share price, close 13/08/2026	US\$75.88
Scenario-weighted value	US\$89.59
Implied upside	+18%
Range across scenarios	US\$40.14 to US\$138.84
Consensus target, 58 analysts	US\$103.24 (-13%)
Forward integration, weight implied by price	38%
Forward integration, weight implied by consensus	2%
Forward integration, weight carried here	20%
View	Modest buy. The price over-weights forward integration

Exhibit 1: Uber Against the S&P 500, Rebased



Source: Bloomberg and Yahoo Finance daily closes, 31/12/2024 to 13/08/2026.

2. Medium-Term Case

Four of Hamilton Helmer's seven powers carried the original case, and the June 2026 quarter left most of them intact: bookings up 24%, trips up 18%, trailing free cash flow past US\$10.1bn for the first time. A business being disintermediated does not usually accelerate.

Power	January 2025	Now	Verdict
Scale economies	Amortising research across the largest base	Funds 20 autonomous partnerships at once while autonomous trips stay under 0.5% of the total	Stronger than argued
Network economies	Segmented flywheel, a cost of entry for rivals	Also a cost for Uber: a supplier taking one dense metro need not solve the other ten thousand cities	Only one side was argued
Brand	A slight power, from being top of mind	Unchanged	Right
Switching costs	Moderate, via Uber One	Unchanged	Right

Take Rate

A 527 basis point fall in the Mobility take rate, from 30.7% to 25.4%, looks like an aggregator being squeezed by its suppliers. About 400 of those basis points are a UK agency-model change: from January 2026, driver payments outside London became contra-revenue, which leaves bookings, EBITDA and cash untouched. The sequential fall in the June quarter was about 35 basis points, and Wells Fargo attributes that to competition for two-wheeler supply in Brazil. Mobility operating margin was 7.6%, and Delivery's take rate rose.

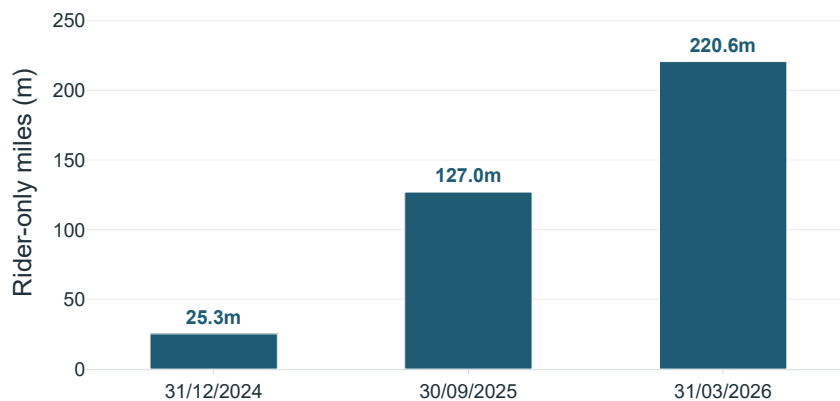
Because the change moves reported revenue and not cash, the valuation in Section 6 is built on free cash flow rather than on a margin applied to revenue.

3. Structural Constraints

Four predictions about what would slow autonomous scaling down. The Ola and Grab comparison from the original is the fourth, since it is a claim about how hard the rollout is in particular places.

Prediction, January 2025	What happened	Verdict
Rollout costs keep AVs in dense centres	Waymo went from 4 US cities to 11, and 25.3m to 220.6m rider-only miles	Right on shape, wrong on speed
Public scepticism holds autonomy back	90% fewer serious-injury crashes than the human benchmark, 81% fewer injury crashes independently. No reversal came	Wrong, and it stopped mattering
Tesla's fleet lets it scale past Waymo	Austin opened 22/06/2025 with a safety monitor, removed from part of that fleet 22/01/2026. No California driverless permit	Wrong, software was the constraint
Dense, non-standard road systems are harder	Untested. No operator has seriously tried India or South-East Asia	Unresolved

Exhibit 2: Waymo Scale-Up

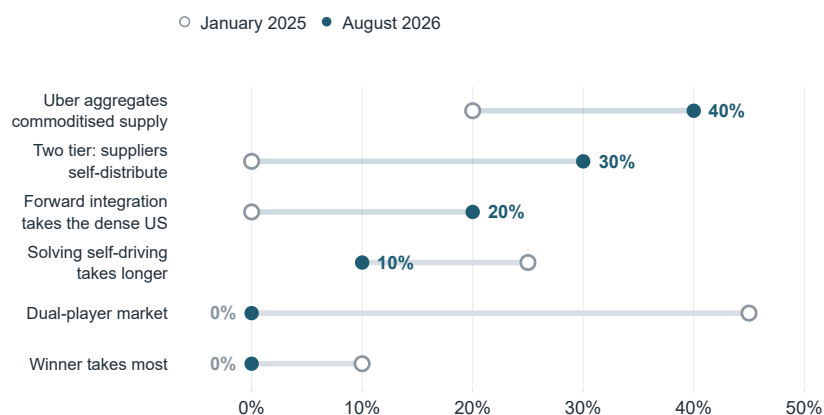


Source: Waymo Safety Impact data hub; Kusano et al. (2025). The 2024 column is the figure quoted in the original article.

4. Scenarios

The base case is now commoditised supply at 40%, up from a share of a 20% residual bucket. The delay case falls from ~25% to 10%. The two middle scenarios are the same argument at different intensities: a supplier does not have to beat Uber everywhere, only in the metros that pay for the rest of the network.

Exhibit 3: Shift in Scenario Probabilities



Source: Original article, 01/01/2025; revised weights as at 14/08/2026.

Scenario	Weight	What it means for Uber's economics
Uber aggregates commoditised supply	40%	Many capable autonomous suppliers, none able to reach riders more cheaply than through the largest demand pool. Consensus is right about 2029 and the market stops pricing an existential discount.
Two tier: suppliers self-distribute in the densest metros	30%	Waymo and one or two others run their own apps where density pays for it and use Uber everywhere else. Uber keeps the volume at a worse mix, because the metros it loses are its most profitable.
Forward integration takes the dense US market	20%	The scarce resource keeps the customer. Uber retains international, suburban and delivery, which is a real business but the low-margin remainder of one, and the multiple never recovers.
Autonomy stalls on cost or regulation	10%	Unit economics stay stubborn outside a handful of metros. Uber's current position extends and the market pays for the extension.

Three sell-side readings cut the other way. Mizuho has Uber's share in the mature autonomous markets rising year on year despite the new entrants. UBS notes Waymo's daily users climbing without rideshare demand

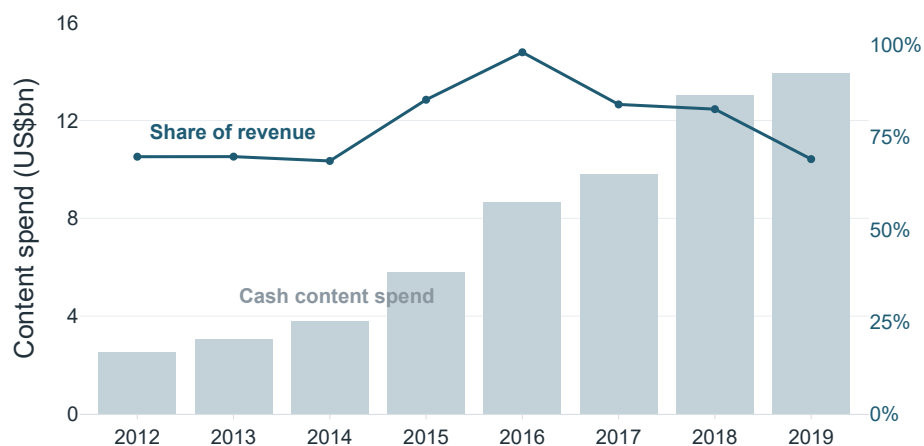
falling to match. Barclays puts Uber's autonomous spend near US\$10bn, which buys a place in the aggregation outcome rather than waiting for one.

The Netflix Comparison

The Netflix comparison is about what happens to an aggregator when its suppliers integrate forward. Netflix saw the studios coming and began commissioning its own content in 2012. Uber sold Advanced Technologies Group.

The filings weaken it. Cash content spend rose every year, but as a share of revenue it peaked in 2016 at 98% and fell to 69% by 2019, so the escalation the original described is not in the accounts. Netflix could also replace one studio's output with another's. Uber cannot replace autonomous capability, which is why Waymo raised US\$16bn at a US\$126bn valuation.

Exhibit 4: Netflix Cash Content Spend



Source: Netflix 10-K filings for FY2013, FY2016 and FY2019, consolidated statements of cash flows and operations. Rebuilt from the filings; the original article used a third-party image.

5. Scorecard

The article was right about three of its four scenarios. It was wrong about the one carrying 45%.

Scenario	Weight	What happened	The call, and where the reasoning broke
Solving self-driving takes longer	~25%	No delay	Correctly bet against, for the wrong reason. A list of dead startups was read as evidence about the technology when it was evidence about capital: Argo, Cruise and Apple stopped because their owners stopped paying, and Alphabet did not. Cruise was defunded three weeks before publication.
Winner takes most	~10%	No single winner	Right, mislabelled. The heading and the argument beneath it described different scenarios, so the 10% attached to a case the text never set out. A labelling failure, and the reason the distribution is awkward to score at all.
Dual-player market	~45%	No duopoly	Wrong, and the only real miss. The barrier modelled was the cost of building autonomy. The binding one was the cost of reaching riders, and a supplier needs no demand network of its own while Uber will rent it one.
Other, incl. commoditised autonomy	~20%	Supply commoditised	Right, and underweighted. Described accurately, given a fifth of the weight and left in a residual bucket with two unrelated cases. The analysis was right and the position was not.

Brier score, January 2025 forecast	Brier score, an even split across four	Weight on the outcome that arrived
0.92	0.75	20%
Weight on the outcome that did not	Uber, 31/12/2024 to 13/08/2026	S&P 500, same window
45%	+25.8%	+32.6%

The weights made the forecast worse than an even split would have: 0.92 against 0.75. The 45% scenario caused all of it.

Waymo was in 4 cities on 25.3m miles when the article was published. Forecasting 11 cities and 220.6m rider-only miles inside fifteen months would have been an aggressive call rather than an obvious one. The failure was in the weights, not the mechanism.

The article did not anticipate what has since done the damage: Uber's most important partner beginning to unwind while commoditisation was otherwise running in Uber's favour. The closing low of US\$65.94 came on 24/07/2026, the day the exclusivity news broke.

Sell-Side Response

None of the four houses that published after the exclusivity news changed its rating, and the one target cut among them came alongside higher estimates.

House	Rating	Target, was	Now	Dated
Wells Fargo	Overweight	US\$100	US\$89	12/08/2026
Mizuho	Outperform	US\$110	US\$112	12/08/2026
UBS	Buy	US\$110	US\$110	11/08/2026
Needham	Buy	US\$109	US\$109	13/08/2026

6. Valuation

The model below runs on free cash flow rather than a margin on revenue, because the UK reclassification makes revenue an unreliable base. Anchoring the near years to consensus costs something, since the base case is then partly an echo of the street. The disagreement being tested is the probability weight, not the cash flow.

Scenario	Weight	2029 FCF vs consensus	2029 US\$bn	Growth to 2031	Exit x FCF	2031 US\$bn	Value US\$/sh	PV US\$/sh
Aggregation	40%	1.00x	17.7	10%	18x	21.4	184.04	114.27
Two tier	30%	0.90x	15.9	6%	14x	17.9	117.94	73.23
Forward integration	20%	0.70x	12.4	2%	11x	12.9	64.64	40.14
Autonomy stalls	10%	1.05x	18.6	12%	20x	23.3	223.60	138.84
Probability-weighted								89.59

Consensus free cash flow for 2029 is US\$17.7bn (Bloomberg BEst). Discounted at 10%; net debt US\$9.9bn; 2.04bn shares.

US\$89.59 is +18% on the close and -13% against consensus, where 49 of 58 analysts have it a buy. Uber trades at 19.5 times forward earnings inside a peer spread of 10.7x to 34.6x, so it screens mid-pack. Its own history is the sharper comparison. At 12.55 times forward EBITDA it sits 22% below its September 2025 peak of 16.11 times, and in the lower half of the past year, but mid-range against a three-year band of 6.72x to 16.11x. That is a de-rate rather than a floor.

What the Price Is Carrying

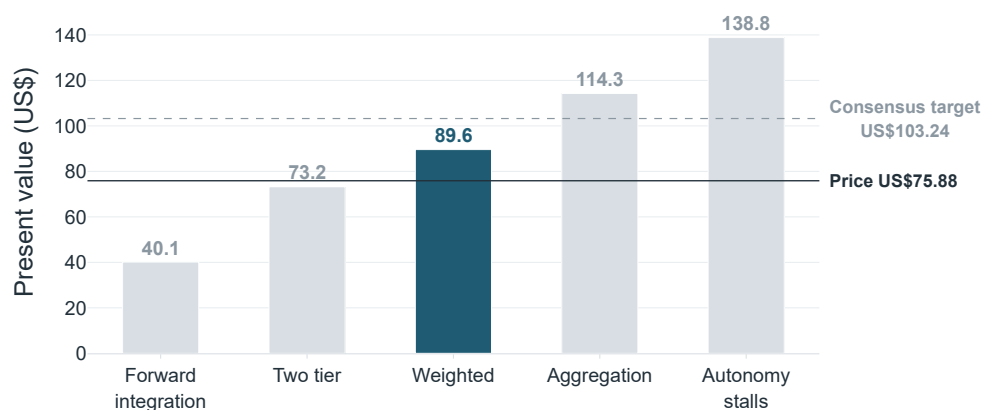
The table below moves the weight on forward integration from nothing to 40%. Two tier and autonomy-stalls hold at 30% and 10%, and the aggregation case absorbs the difference, those two being the poles.

Weight on forward integration	Value	Against price	Against consensus
0%	US\$104.42	+38%	+1%
10%	US\$97.00	+28%	-6%
20%	US\$89.59	+18%	-13%
30%	US\$82.18	+8%	-20%
40%	US\$74.76	-1%	-28%

Solving the table backwards gives the number that matters. At US\$75.88 the market carries a 38% weight on forward integration, the consensus target carries about 2%, and this note carries 20%.

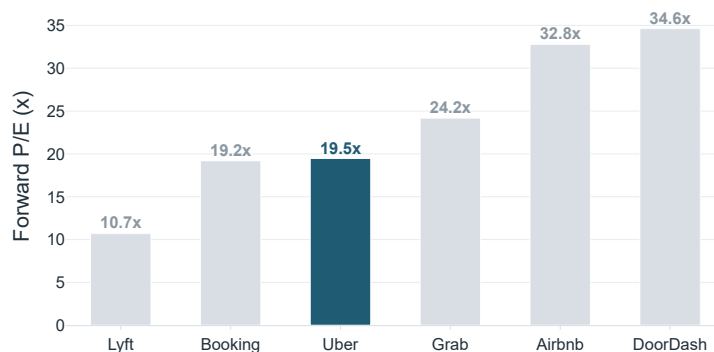
That is 37 percentage points between the market and the street on one probability. An investor who expects Waymo's own app to take the dense metros belongs nearer the market's number.

Exhibit 5: Scenario Values Against Price and Consensus



Source: Scenario model overleaf; Bloomberg BEst consensus target, 13/08/2026.

Exhibit 6: Forward Price / Earnings Against Peers



Source: Bloomberg BEST_PE_RATIO, one field for all six, 13/08/2026.

What Would Settle This

Three observable tests, with the print that resolves each.

Test	What the reading would mean	Resolves
Autonomous share of Uber trips	Under 0.5% at the June 2026 quarter. Rising towards low single digits without a take-rate cost supports the aggregation case; rising alongside a Mobility take-rate fall does not	Q3 2026 result
Mobility take rate, once the UK change annualises	The 400 basis point drag lapses from January 2027. A take rate that does not recover most of it is competitive, not accounting	Q1 2027 result
Waymo's own app where exclusivity lapses	Austin and Atlanta. If Waymo's app takes the majority of its own dense-metro volume, forward integration is worth more than the 20% carried here	January 2028, unconfirmed

7. Risks

Risk	Why it would break the view
The base case inherits consensus risk	The 2029 free cash flow anchoring every scenario is the consensus number, not a forecast built here. If the 58 analysts are wrong about how fast autonomy erodes Uber's economics, all four scenario values move together and in the same direction. The probability weights are the only part of this valuation that does not come from the street.
Waymo does not need Uber anywhere	UBS says the friction was over car priority and economic share, the two things that would matter if Waymo means to distribute itself. If its own app takes the dense metros, forward integration is worth more than one in five.
Staying the aggregator is getting expensive	Barclays puts the autonomous commitment near US\$10bn across equity stakes, infrastructure and vehicle offtake. Aggregation was supposed to be the capital-light position. If Uber has to keep buying fleet to hold supply on the platform, the cash conversion here is too generous in every scenario.
Tesla solves the software	Supply then expands faster than any of the four scenarios allows, which helps the aggregation case and squeezes the multiple at the same time.
The scorecard grades its own author	The 20% bucket is ambiguous as written, somewhere between the whole residual case and commoditisation inside it. A less generous reading scores that call unresolved rather than right.

8. Sources

Publisher	Document	Dated
Uber Technologies	Form 10-Q, quarter ended 30/06/2026	05/08/2026
Uber Technologies	Q2 2026 earnings call: UK agency model, Mobility margin, autonomous trip share	05/08/2026
Bloomberg	Segment bookings, revenue and EBITDA by quarter; price history; capital structure	14/08/2026
Bloomberg BEst	Consensus FY2026 to FY2029; recommendation split and targets. The estimate set was unchanged from 12/08 to 18/08/2026	13/08/2026
Waymo	Safety Impact data hub, 220.6m rider-only miles	31/03/2026
Kusano et al.	Traffic Injury Prevention, Waymo crash rates against human benchmarks	2025
Insurance Institute for Highway Safety	Independent analysis of Waymo crash data	2026

Publisher	Document	Dated
Ken Gawrelski, Wells Fargo	2Q:26 review; target to US\$89	12/08/2026
Lloyd Walmsley, Mizuho	AV overhang persists; target to US\$112	12/08/2026
Stephen Ju, UBS	Robotaxi unlikely to stop driving returns	11/08/2026
Bernie McTernan, Needham	Waymo wants to ride solo	03/08/2026
Ross Sandler, Barclays	Solid growth amidst investment landgrab	12/08/2026
CNBC	Waymo and Uber end the Phoenix pilot	29/06/2026
CNBC	Uber and Waymo to end Austin and Atlanta exclusivity	24/07/2026
TechCrunch	Uber autonomous vehicle deal tracker	01/08/2026
Electrek	Tesla robotaxi without safety monitor, Austin	22/01/2026
Netflix	Forms 10-K for FY2013, FY2016 and FY2019, statements of cash flows	Filed 2014 to 2020
Original article	Uber's Aggregation Woes, thinkerings.substack.com	01/01/2025